

Relative Valuation Analysis

Walmart Inc. (WMT)

TO: Anyone Interested

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- Executive Summary
- Verdict: **Overvalued**
- Recommendation: HOLD

Metric	Walmart (WMT)	Competitor Avg.	Implication
P/E Ratio	39.46x	33.34x	Premium (+6.12x): Investors are paying a significant premium for earnings.
P/B Ratio	9.38x	7.36x	Premium (+2.02x): Suggests high asset efficiency, but also a higher price tag.
P/S Ratio	1.23x	0.77x	Premium (+0.46x): Reflects market confidence in Walmart's scale and revenue quality.
EV/EBITDA	19.70x	16.02x	Premium (+3.68x): Reflects strong underlying cash flow quality.

3. Interpretation & Conclusion

- **Quality premium:** Walmart trades at a premium across all major valuation multiples. Investors are paying for its scale, strong balance sheet (\$10.7B cash), and leading grocery business.

4. Investment Recommendation

- **Rating:** HOLD
- **Action:** Do not initiate a new position at current price levels.

5. Limitations & Risks

- This analysis relies strictly on relative trading multiples.

It does not incorporate a DCF analysis, projected future cash flows, or a detailed company valuation.